

Onchain360

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Executive Summary

2025 marked a structural turning point in the evolution of the UAE's digital assets ecosystem. What had previously been characterised by ambition and positioning transitioned into a functioning, supervised market, underpinned by clear regulation, institutional participation, and growing operational maturity.

This shift was driven by deliberate regulatory design. Dubai's Virtual Assets Regulatory Authority (VARA) and Abu Dhabi Global Market's Financial Services Regulatory Authority (ADGM FSRA) moved beyond framework development into licensing, supervision, and enforcement. Their approaches, distinct yet complementary, reduced ambiguity and established credible pathways for digital asset activity to operate at scale within recognised financial centres.

Institutional and sovereign validation followed. Global exchanges sought regulatory approval, sovereign-aligned capital was deployed into digital asset infrastructure, and traditional financial institutions expanded the use of tokenised settlement, custody, and issuance models. By the end of 2025, digital assets in the UAE were no longer treated as a parallel financial system, but increasingly as an extension of existing market infrastructure.

The narrative entering 2026 is therefore fundamentally different. The focus shifts from market formation to integration, embedding digital assets into payments, capital markets, real-world asset tokenisation, compliance, reporting, and education. Regulatory frameworks mature into supervisory regimes, operational resilience becomes a differentiator, and transparency and governance take precedence over speed and experimentation.

This paper examines the UAE's transition from ambition to execution in 2025 and outlines the implications for 2026. It highlights why regulation has become a growth enabler, why infrastructure and capability matter more than visibility, and how the UAE is positioning itself as a blueprint for sustainable digital asset adoption across the wider MENA region.

2025 in Review: How the UAE Cemented Itself as a Global Crypto Powerhouse

2025 was the year the United Arab Emirates didn't just *talk* about becoming a crypto hub, it **delivered**. Across regulatory innovation, global business presence, product evolution, and capital flows, the UAE's digital-asset ecosystem matured from ambition into execution.

From Dubai's VARA to Abu Dhabi's ADGM, and with major industry players choosing the Emirates as a base for regulated operations, 2025 will be remembered as a *pivotal year* in the Gulf's journey toward global crypto leadership.

Regulatory Acceleration: Clear frameworks, real outcomes

Dubai's VARA solidifies tailored virtual-asset oversight

The **Virtual Assets Regulatory Authority (VARA)** continued enforcing its world-first, bespoke regime for digital assets in Dubai, regulating and supervising exchanges, brokers, custodians and related services. VARA's framework, grounded in Law No. 4 of 2022 and the Virtual Assets and Related Activities Regulations, is designed to promote innovation while prioritising investor protection and market integrity. [Vara](#)

In 2025, VARA:

- Maintained an active **public register of licensed Virtual Asset Service Providers (VASPs)**, which became a go-to resource for credible market participants. [Vara](#)
- Continued enforcement against unlicensed activity, underscoring that **only authorised entities may operate crypto services in or from Dubai**. [Gibson Dunn](#)

This regulatory clarity has been crucial in reducing uncertainty for founders, institutions, and international firms considering UAE entry.

Licences & Market Entrants: Big names, bold moves

Abu Dhabi Global Market (ADGM) continues to evolve its framework

In parallel, the **Financial Services Regulatory Authority (FSRA) of ADGM** governing crypto activities in Abu Dhabi's international financial centre, presented key enhancements to its digital asset framework at *Abu Dhabi Finance Week (ADFW) 2025*. Changes included:

- Refinements to how virtual assets become *Accepted Virtual Assets* (AVAs) within ADGM
- Adjustments to capital requirements and fee structures
- Introduction of product intervention powers
- Enhanced investment scope for venture capital supporting digital asset growth. [ADGM](#)

Such updates reinforce ADGM's reputation as a sophisticated jurisdiction for institutional grade regulated digital finances.

Global Players Anchor in the UAE

Perhaps the biggest headline of the year came from one of crypto's biggest names:

Binance secures first global exchange licence under ADGM

In early December, **Binance, the world's largest cryptocurrency exchange, received formal global regulatory authorisation from the FSRA under the ADGM framework.** [The Economic Times+1](#)

This was more than symbolic. The authorisation marked:

- A **precedent** for global crypto exchange licensing under a jurisdiction recognised for its legal certainty and investor protections, and
- A signal to other major platforms that **regulatory compliance is now mainstream and achievable.**

Additional reports indicate Binance plans to operate its core platform through multiple ADGM-licensed entities by 2026, enabling end-to-end oversight under UAE regulation. [PaymentExpert.com](#)

Capital Flows & Market Confidence

2025 also saw **massive institutional interest** in the UAE's crypto narrative.

Abu Dhabi sovereign capital backs crypto heavyweights

In March, Abu Dhabi-linked MGX, part of the UAE's vast sovereign wealth framework, announced a **\$2 billion investment in Binance**, conducted in stablecoins. [Reuters](#)

This wasn't just money, it was a strategic endorsement by one of the region's deepest pools of capital, signalling confidence in regulated blockchain innovation as part of the future of finance.

Infrastructure & Innovation: Beyond trading

The UAE's crypto ecosystem expanded beyond simple buy-sell exchange models. In regulatory and commercial spheres, 2025 drove progress in:

Tokenisation frameworks and real-world assets (RWAs)

Both VARA and SCA (Securities & Commodities Authority) advanced tokenisation regimes from fiat-referenced virtual assets to security tokens, expanding avenues for institutional asset digitalisation. [NeosLegal](#)

Multi-Regulator coordination

2025 emphasised cooperation as much as competition. For instance, discussions between **VARA and the Dubai Financial Services Authority (DFSA)** aimed to enhance supervisory synergy and information sharing, a clear message that regulation is maturing, not fragmenting. [LinkedIn](#)

This regulatory infrastructure is complemented by vibrant commercial experimentation with tokenised property, stablecoins, and even pilot central-bank digital currency projects.

Emerging Lessons from the UAE's 2025 Crypto Playbook

Here are the key takeaways for both **VASPs** and **TradFi** participants:

1. Regulation equals credibility

Across the UAE, crypto regulation isn't an afterthought - it's foundational. Licensing, enforcement, and public registers give participants confidence and guard against bad actors.

2. Dual hubs mean tailored strategies

Dubai's VARA and Abu Dhabi's FSRA are complementary but distinct. Dubai's modular license regime is excellent for a wide range of VASP activities, while ADGM's framework is tuned for institutional scale. Firms planning entry must design structures around these jurisdictions' mandates.

3. Global giants are showing up

Binance's ADGM global licence and large-scale institutional capital flows into regulated entities aren't just headlines, they are market infrastructure shifts. When global platforms anchor in the UAE, capital, liquidity, and talent follow.

4. Real-world asset tokenisation is maturing

Regulatory clarity around stablecoin and asset-referenced issuance, plus tokenised securities and real estate pilots, means the UAE could see real strips of economy go on-chain in 2026. This is beyond trading, it's digital finance infrastructure.

The UAE's 2025 story is one of **transition**: from sandbox policies and pilot hype to *scaled, regulated market presence*. It's a testament to what happens when clear regulation meets entrepreneurial ambition and it sets the stage for 2026 to be even bigger.

What really mattered in 2025....

Global Exchanges & Market Infrastructure (Institutional Shift)

These firms mattered in 2025 not because of hype, but because they **successfully navigated regulation, capital, and scale**.

Binance

- **Why 2025 mattered:**
 - Secured **full regulatory approval under ADGM FSRA** (first global exchange to do so).
 - Received a **USD 2bn strategic investment from Abu Dhabi-linked MGX**, signalling sovereign confidence.

Impact: Cemented the UAE as a credible base for globally regulated crypto activity and institutional flows.

Coinbase

- **Why 2025 mattered:**
 - Continued expansion of institutional custody and compliance tooling.
 - Deepened engagement with global regulators, reinforcing the “regulated exchange” model.

Impact: Normalised crypto as infrastructure for TradFi rather than a challenger to it.

OKX

- **Why 2025 mattered:**
 - Progressed regional compliance frameworks and institutional product offerings.

Impact: Helped shape expectations around derivatives, custody, and market conduct in regulated markets.

Custody & Market Plumbing (The Quiet Winners)

2025 proved that **custody is the backbone of tokenisation and institutional crypto**.

BitGo

- **Why 2025 mattered:**
 - Secured **custody and broker-dealer permissions in Dubai (VARA)**.

Impact: Strengthened institutional-grade custody standards in the region.

Zodia Custody (Standard Chartered-backed)

- **Why 2025 mattered:**
 - Continued expansion of bank-backed crypto custody solutions.

Impact: Bridged the trust gap between banks and digital assets.

Fireblocks

- **Why 2025 mattered:**
 - Became core infrastructure for exchanges, banks, and tokenisation platforms.

Impact: Defined operational security standards for digital asset movement.

Tokenisation & Real-World Assets (RWA) Leaders

This is where **2025 quietly changed the narrative** from “crypto trading” to **financial infrastructure**.

CTRL ALT

- **Why 2025 mattered:**
 - Focused on **tokenised issuance and infrastructure**, including Category-1-aligned issuance models in Dubai.

Impact: Helped move tokenisation from theory to regulated execution.

Prypco

- **Why 2025 mattered:**
 - Demonstrated **regulated tokenised real-estate structures** under VARA.

Impact: Made tokenised property tangible for retail and institutional participants.

Securitize

- **Why 2025 mattered:**
 - Continued leadership in tokenised securities and fund issuance globally.

Impact: Set global benchmarks for compliant RWA issuance.

Financial Institutions & Sovereign Influence

2025 was the year **TradFi stopped watching and started building**.

JPMorgan

- **Why 2025 mattered:**
 - **JPMorgan** continued expanding the use of **Onyx Digital Assets**, its blockchain-based infrastructure supporting tokenised deposits, intraday repo, and on-chain settlement between institutional counterparties.
 - The bank further embedded blockchain rails into **wholesale banking and capital markets operations**, rather than treating digital assets as a standalone experiment.

Impact: JPMorgan's activity demonstrated that **blockchain technology can be deployed at scale within systemically important financial institutions**, reinforcing the narrative that tokenisation and on-chain settlement are extensions of existing financial plumbing, not replacements for it.

Standard Chartered

- **Why 2025 mattered:**
 - Expanded regulated **digital asset custody** and tokenisation initiatives across key jurisdictions, including the Middle East.
 - Continued building institutional-facing digital asset infrastructure through regulated entities.

Impact: Standard Chartered's sustained involvement helped validate crypto and tokenisation as **bankable, custody-ready asset classes**, particularly for institutional and cross-border use cases.

BlackRock

- **Why 2025 mattered:**
 - Continued growth and adoption of **tokenised investment products**, including blockchain-based funds and settlement initiatives.
 - Publicly reinforced the role of tokenisation in improving market efficiency, transparency, and settlement speed.

Impact: BlackRock's participation normalised tokenisation at **global asset-manager scale**, signalling to institutions that digital assets are no longer niche or experimental.

Goldman Sachs

- **Why 2025 mattered:**
 - Continued development of its **Digital Assets Platform (DAP)**, supporting tokenised securities issuance and lifecycle management.
 - Maintained active engagement with institutional clients exploring on-chain issuance and settlement.

Impact: Goldman Sachs' work reinforced the view that **tokenised securities fit within existing capital markets frameworks**, accelerating institutional comfort with digital issuance models.

BNY Mellon

- **Why 2025 mattered:**
 - Expanded digital asset **custody and servicing capabilities** for institutional clients.
 - Integrated digital assets into its broader asset servicing and settlement offerings.

Impact:

As the world's largest custodian bank, BNY Mellon's continued involvement helped anchor digital assets within **mainstream post-trade infrastructure**, particularly for asset managers and funds.

Abu Dhabi-linked MGX

- **Why 2025 mattered:**
 - Announced a **USD 2 billion strategic investment into Binance**, executed in stablecoins.

Impact: This investment represented one of the clearest examples of **sovereign-aligned capital backing regulated digital asset infrastructure**, reinforcing the UAE's commitment to long-term leadership in digital finance.

Regulatory & Ecosystem Shapers (Not Businesses, but Critical)

Some of the biggest "shapers" aren't companies — they're **ecosystem architects**.

VARA (Dubai)

- Built the world's first **bespoke virtual asset regulator**.

- Enabled licensing across exchanges, custody, issuance, and broker-dealer models.
- Public register created market transparency.

ADGM FSRA

- Continued refining a **standards-led digital assets framework**.
- Announced enhancements around AVAs, capital, and staking at ADFW 2025.

MENA Fintech Association

- Acted as a bridge between **regulators, founders, and financial institutions** across the region.
- Enabled dialogue rather than confrontation.

What 2025 Taught Us (The Big Lessons)

If you're distilling this into thought leadership, these points land strongly:

1. **Infrastructure > speculation**
Custody, issuance, governance, and compliance were the real winners.
2. **Regulation became a competitive advantage**
The UAE didn't win by being "light touch" it won by being **clear**.
3. **Tokenisation moved from pilots to production**
Especially in real estate, funds, and structured products.
4. **Crypto and TradFi converged**
2025 blurred the line, the future is hybrid.

"2025 wasn't the year crypto disrupted finance, it was the year crypto became finance, and the UAE positioned itself at the centre of that transformation."

Looking Ahead to 2026: What's Next for Crypto, Tokenisation and Digital Finance in the UAE and MENA

If 2025 was the year the UAE proved it could build a **credible, regulated crypto market**, then **2026 is shaping up to be the year those foundations are embedded into the real economy**.

Across the UAE and wider MENA region, the conversation is shifting. The focus is no longer on “whether” digital assets belong in mainstream finance, but **how they are used, governed, taught, and scaled responsibly**.

This next phase will be quieter than the headline-heavy years before it but arguably far more important.

From markets to infrastructure: the defining theme of 2026

In 2026, the most important developments are unlikely to come from speculative activity. Instead, momentum is building around **infrastructure**:

- regulated custody and client asset protection
- tokenisation of real-world assets
- stablecoin and payment-token frameworks
- compliance, reporting, and supervisory readiness

The UAE's regulatory bodies - VARA, ADGM FSRA and the Central Bank, have already laid much of the groundwork. What comes next is **execution at scale**.

Who to watch in 2026 (and why it matters)

Rather than individual “winners”, 2026 will be shaped by **types of organisations** working together.

1. Regulators as ecosystem architects

In the UAE, regulators are no longer just rule-setters, they are **market designers**.

- **VARA** will continue refining how virtual asset activities operate in practice, with more focus on supervision, enforcement, and operational resilience.
- **ADGM FSRA** enters 2026 with enhanced frameworks for tokenisation and fiat-referenced tokens coming into effect.

- **The Central Bank of the UAE** continues advancing payment-token regulation and central bank digital currency (CBDC) infrastructure.

For the wider MENA region, the UAE increasingly acts as a **reference model**, influencing how neighbouring jurisdictions approach digital assets.

2. Infrastructure providers, not just platforms

Exchanges and trading venues will still matter but the real influence in 2026 is likely to come from companies that provide the **plumbing** of digital finance:

- custody and wallet infrastructure
- token issuance and lifecycle management
- settlement and transfer security
- data, reporting, and compliance tooling

These businesses enable regulated activity to function safely and at scale, and they underpin everything from tokenised real estate to on-chain settlement between institutions.

3. Traditional financial institutions stepping in quietly

Global banks and asset managers began engaging seriously in 2025. In 2026, their involvement becomes **less experimental and more operational**.

This includes:

- tokenised funds and securities
- blockchain-based settlement between institutions
- custody and servicing of digital assets
- integration of digital assets into existing balance sheets and workflows

This quiet convergence between traditional finance and digital assets is one of the most important trends shaping the next phase.

Education: the missing pillar that comes into focus

One of the clearest lessons from the past few years is that **regulation and technology move faster than people's skills**.

As digital assets become embedded into regulated markets, the UAE and MENA region will need:

- trained compliance officers and MLROs
- informed board members and senior management
- operational teams that understand on-chain risks
- regulators, auditors and law enforcement with shared technical literacy

This is where **education and workforce development** become critical.

Institutions like **TCAE (The Crypto & Anti-Financial Crime Academy)** reflect a broader trend: moving beyond ad-hoc training towards **structured, role-based education** that bridges technology, compliance, and regulation.

In 2026, expect education to become a strategic enabler, not an afterthought.

What could be embedded in the UAE in 2026

Looking ahead, several practical opportunities stand out:

1. Tokenisation beyond pilots

With regulatory clarity improving, tokenisation can move beyond proof-of-concepts into:

- real estate
- funds and structured products
- private markets and alternative assets

The focus will be less on “putting assets on-chain” and more on **governance, investor protection, and lifecycle management**.

2. Payment tokens and programmable money

Stablecoins, payment tokens and CBDC-adjacent infrastructure are likely to be used more visibly in:

- cross-border payments
- government and semi-government use cases
- regulated merchant and enterprise flows

This will happen gradually, under supervision, and with clear licensing boundaries but it represents a meaningful evolution in how money moves.

3. Compliance and transparency as a feature

With international standards like the OECD’s Crypto-Asset Reporting Framework (CARF) on the horizon, 2026 becomes a **preparation year**.

Expect more emphasis on:

- transaction transparency
- data quality and reporting
- governance over crypto operations
- auditability and record-keeping

In the next phase, compliance won't be seen as friction, it will be a **competitive advantage**.

A broader takeaway for MENA

What's emerging in the UAE is not just a crypto hub, but a **digital finance operating model**, one that balances innovation, regulation, capital, and talent.

For the wider MENA region, 2026 offers a chance to:

- learn from what has worked
- avoid fragmented or reactionary regulation
- build ecosystems that are credible internationally

Closing thought

2026 won't be defined by hype or disruption. It will be defined by integration of technology into finance, regulation into innovation, and education into growth.

If 2025 showed that the UAE can build a regulated digital asset market, **2026 will show how deeply that market can be embedded into the real economy and how far its influence can reach across MENA and beyond.**



About OnChain360

Powered by HUL Corporate Services (HULCS)

OnChain360 is a digital assets and financial infrastructure advisory platform, powered by HUL Corporate Services (HULCS). We support regulated and institutional participants across the UAE and wider MENA region as digital assets move from market formation into operational integration.

Our work sits at the intersection of **regulation, compliance, governance, and technology**, helping firms operate responsibly within established supervisory frameworks while preparing for future regulatory and operational demands.

What we do

We provide independent, practical support across the full lifecycle of regulated digital asset activity, including:

- **Outsourced COMLRO / MLRO Services**
Senior, regulator-literate compliance leadership to support licensed and pre-licensed Virtual Asset Service Providers (VASPs), ensuring alignment with AML/CFT, sanctions, and governance expectations.
- **Independent Audit & Regulatory Readiness Reviews**
Objective assessments of regulatory compliance, operational controls, and risk management frameworks.
- **Policy & Procedure Review and Attestation**
Independent review, validation, and attestation of AML/CFT frameworks, governance policies, risk assessments, and operational procedures to confirm fitness for purpose and regulatory alignment.
- **VASP Licensing & Regulatory Engagement Support**
End-to-end support for VASP licensing and regulatory applications, including scoping, regulatory mapping, application preparation, and supervisory engagement.
- **Technology & Vendor Selection Advisory**
Independent advisory on the selection and implementation of compliance, custody, transaction monitoring, blockchain analytics, and risk technology vendors, ensuring solutions are proportionate, scalable, and regulator-ready.
- **Training & Capability Development**
Targeted training for boards, senior management, compliance teams, and operational staff covering digital asset regulation, financial crime risk, governance, and supervisory expectations.

Our approach

We are independent, pragmatic, and risk-focused. We do not promote products, platforms, or tokens. Our role is to help firms **build durable, compliant, and credible operations** that can withstand regulatory scrutiny and scale responsibly.